SOMAIYA VIDYAVIHAR UNIVERSITY
K J Somaiya Institute of Management

Session 7,8 – Recruitment & Selection

AACSB ACCREDITED

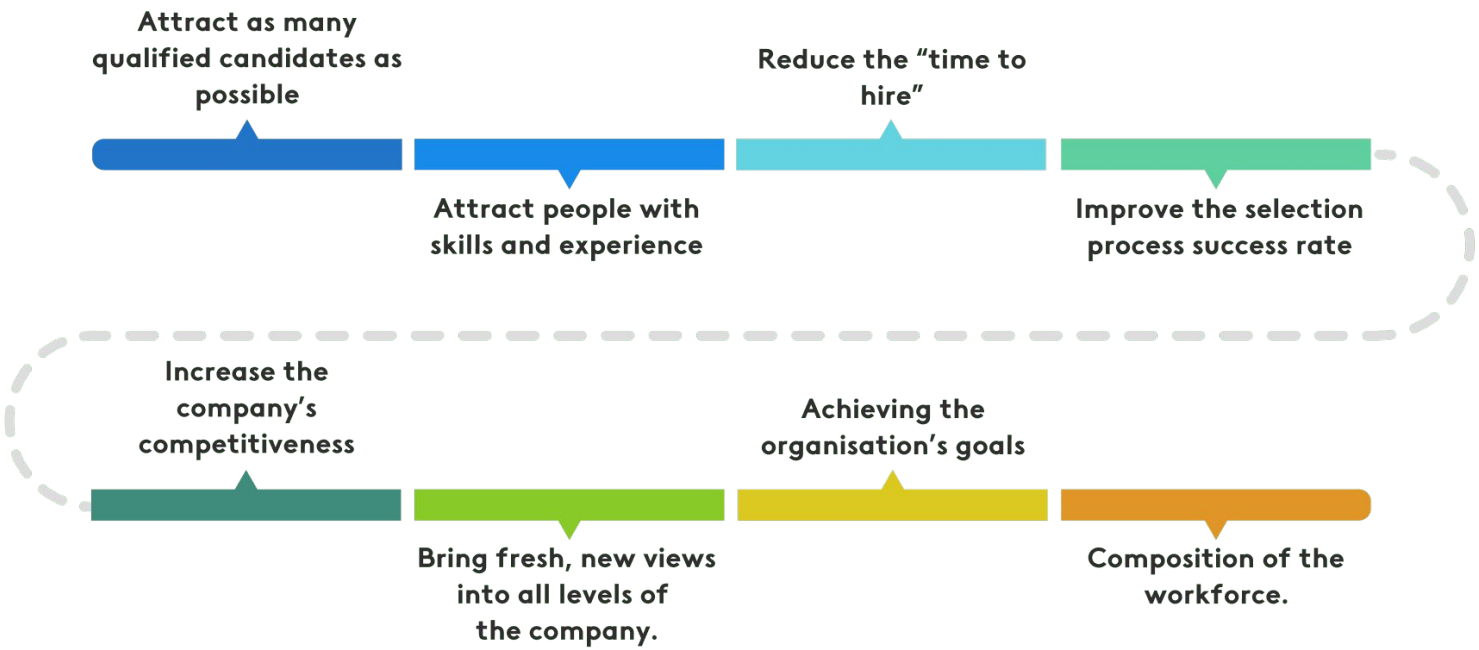
Recruitment and Selection Needs

What is Recruitment?

The process of generating a pool of qualified candidates for a particular job

The process of discovering potential candidates

RECRUITMENT GOALS



Recruitment is a Positive Process and Two way in Nature

Organisation is looking for qualified applicants

RECRUITMENT

Applicants are looking for Potential emplacement opportunities

Practice of getting more applicants in the funnel is now being considered misguided. A better way would be to create a smaller but better qualified applicant pool to improve the yield – Cappelli (2019) – HBR

Recruitment Policies

- Recruitment and selection policy is a statement of norms and guidelines describing the manner in which an organization should conduct its recruitment and selection process. The recruitment policy seeks to ensure transparency and absence of any bias in recruitment and selection process; one that results in the appointment of the best candidate, who comes through purely on merit and is compatible with the organizational values, philosophy, and goals.

- A model recruitment and selection policy should have the following elements:
  - Respect for diversity
  - Ethical decision making
  - Merit based selection
  - Equal treatment for all
  - Procedural fairness

Positions taken by Companies for Recruitment

- Passive Nondiscrimination - It is a commitment to treat all races and both sexes equally in all decisions about hiring promotion and pay. No attempt is made to recruit actively among prospective minority applicants. This posture fails to recognize that discriminatory practices in the past may block prospective applicants from seeking present job opportunities.
- Pure Diversity-Based Recruitment - It is concerted effort by the organization to actively expand the pool of applicants so that no one is excluded because of past or present discrimination. However, the decision to hire or to promote is based on the best-qualified individual, regardless of race or sex.
- Diversity Based Recruitment with Preferential Hiring - This method of selection criteria goes further than pure diversity-based recruitment it systematically favor women and minorities in hiring and promotion decisions. This approach is known as a soft quota system.
- Hard quotas represent a mandate to hire or promote specific numbers or proportions of women or minority group members.

Recruitment Policy of Infosys

- As one of India's leading tech companies, the recruitment and selection process at Infosys is geared towards finding the best match between a candidate's aptitude and company requirements.
- Infosys' hiring policy is closely aligned to its business plans, based on which recruitment is projected and implemented across the year.
- Infosys looks for qualities like superior academic records, technical skills, ingrained capacity for hard work in all candidates. Along with this it concentrates on candidates who exhibit a high degree of 'Learnability'—defined as the "ability to derive generic knowledge from specific experiences and apply them

Reading of case

- **Southwest & Innovative Recruitment Methods**

Factors affecting Recruitment

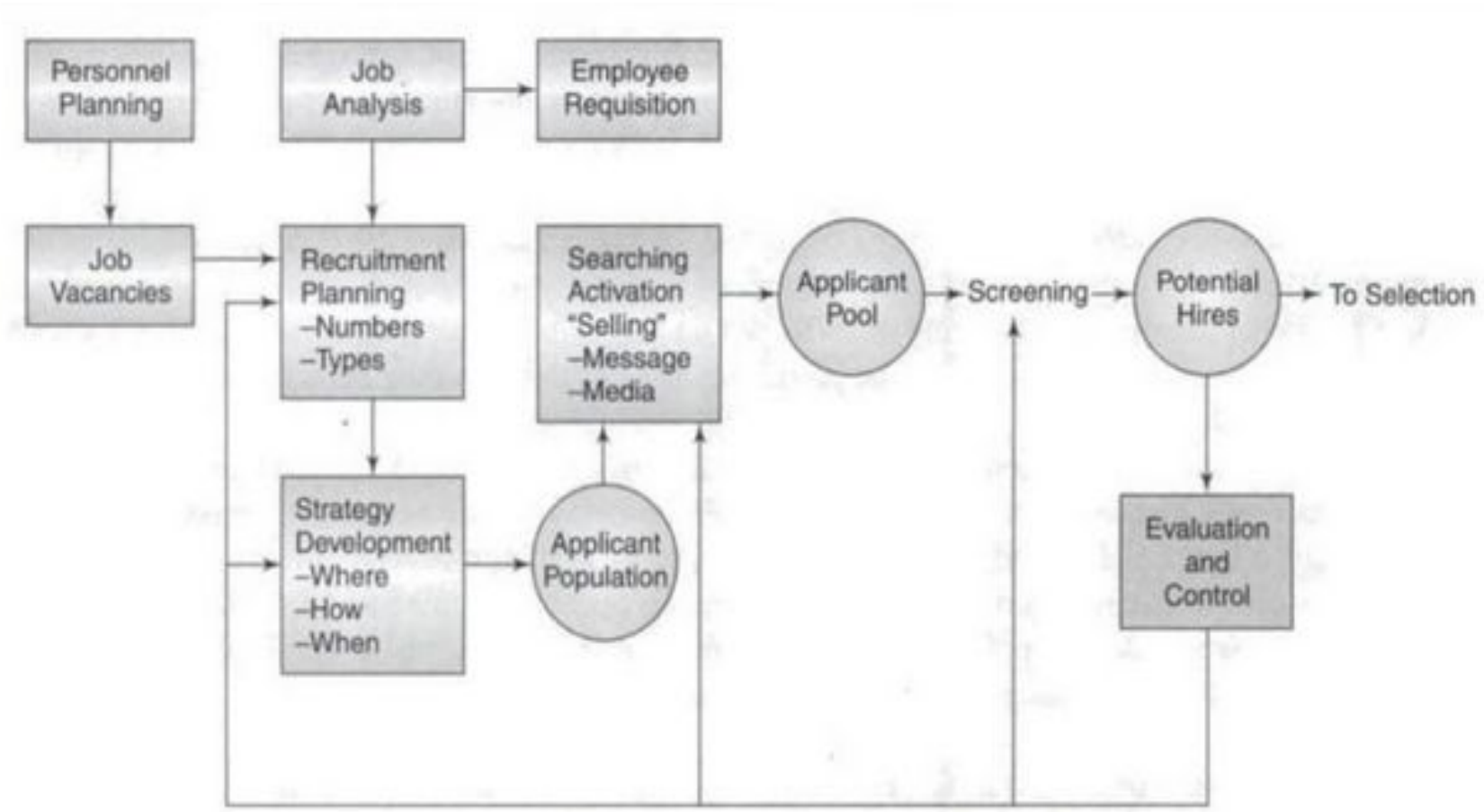
Internal factors

- HR strategy
- Recruitment Policy
- Size of the firm
- Budgetary considerations
- Stage of the organization in the maturity cycle

External factors

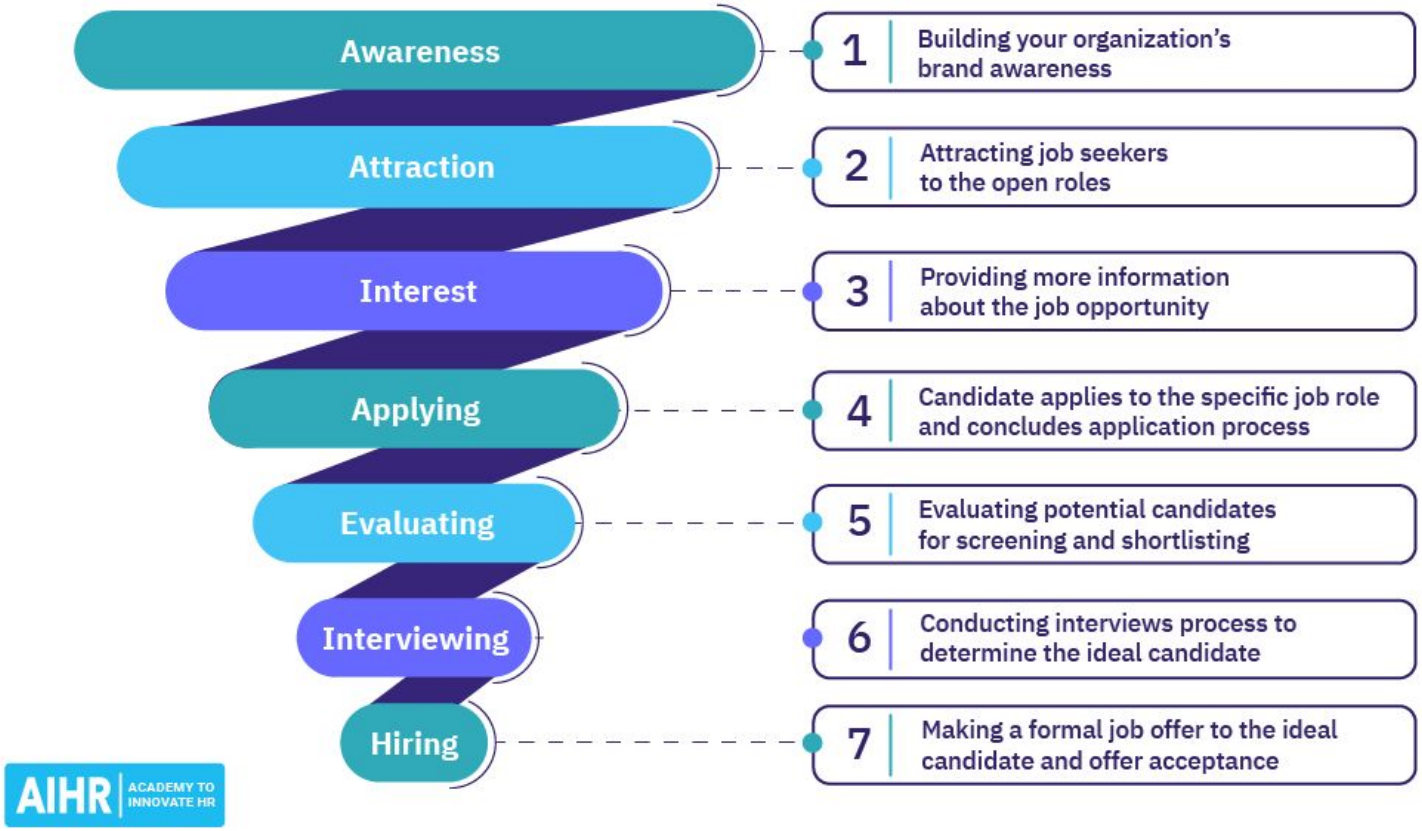
- Labour Market conditions / Geographical area
- Unemployment rate
- Political and legal factors

Recruitment Process

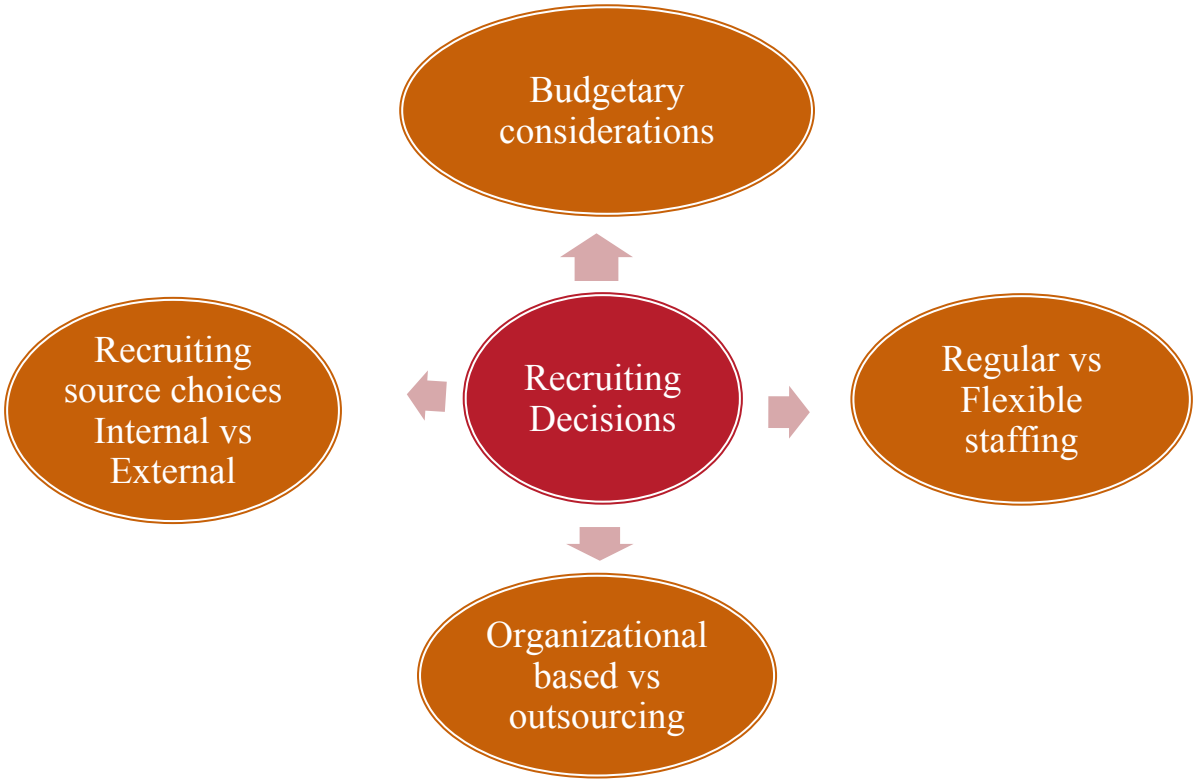


Recruitment Funnel

Recruitment Funnel Stages



Recruiting Decisions



Sources of Recruitment

Internal Sources

- Present employees (Promotions and transfers)
- Employee Referrals
- Former Employees
- Previous applicants

External Sources

- Advertisements
- Campus Recruitment
- Walk ins and Write ins
- E Recruitment
- Consultants
- Professional or Trade associations
- Employment exchanges
- Contractors
- Displaced persons
- Radio and Television
- Acquisitions and Mergers
- Competitors

Internal Vs External Recruitment

Internal vs External Recruitment

Internal Recruitment	
Advantages	**Disadvantages**
• Better selection (foreknowledge of candidates' strengths and weaknesses) • Increases employee morale • Adaptability (less training & orientation required) • Cost effective	• Limited choice • Failed applicants become discontented • Time wasted interviewing inside candidates who will not be considered • In-breeding of status quo • Favoritism/nepotism
External Recruitment	
Advantages	**Disadvantages**
• Greater choice for selection • Balanced HR mix • Fairness • Environmental adaptability	• High cost • Adaptability problems • Wrong selection

Case Analysis

- **Somani Ceramics Ltd**

- "What is the central problem in the Somani Ceramics case – is it hiring numbers, hiring quality, or hiring process?"
- Do the industry analysis of Somani ceramics. What are some observations that you can draw?
- Are recruitment challenges different in manufacturing and service sectors? How?
- Diagnose the recruitment challenges in Somani into Operational and Strategic?
- What recruitment sources is Somani currently using? Is it appropriate for every workforce category?
- As an HR Head / Plant Head / Business Head / Finance Head how do your concerns differ with respect to recruitment

- How can recruitment be made more strategic and future-oriented?
- How can the organization attract and retain skilled talent in a manufacturing context?
- What changes, if any, are required in sourcing channels and recruitment processes?
- If Somany Ceramics does NOT fix its recruitment strategy, what risks does it face in the next 3–5 years?”

- What are the primary recruitment challenges faced by Somany Ceramics Limited?
- How do industry characteristics influence recruitment strategy in this case?
- Evaluate the effectiveness of the current recruitment sources used by the company.
- What role does employer branding play for a manufacturing organization like Somany Ceramics?
- How can Somani Ceramics improve the quality of hire while controlling recruitment costs?
- Should the company focus more on internal development or external hiring? Why?

Promotion from Within at Fed Ex

Many employers encourage internal recruiting, on the reasonable assumption that doing so improves employee engagement.

A manager interested in fostering his or her employees' engagement can draw several useful guidelines from FedEx's promotion-from-within system: show a genuine interest in your employees' career aspirations; provide career-oriented appraisals; see that your employees have access to the training they need to develop themselves; and balance your desire to keep good employees with the benefits of helping them learn of, and apply for, other positions in your company.

FedEx has had strong internal recruiting and promotion from within policies almost from its inception. These grew out of founder Frederick Smith's belief that "when people are placed first they will provide the highest possible service, and profits will follow." FedEx's approach underscores the need to take an integrated approach to fostering employee engagement.

Internet Recruiting Methods

- Job Boards/Portals
- Employer Websites
- Virtual Job fairs
- Social Media – Case of Decathlon

Google's People Operations (HR)

Most employers use tools like job boards to produce large numbers of recruits, and then use ATS and screening systems to cut those numbers down. Google's "People Operations" (HR) group is more scientific. When their research showed that tools like job boards weren't cost-effective for them, they created their own in-house recruiting firm. This in-house team uses a proprietary candidate database called gHire. Google's recruiters continually expand and winnow this candidate list, by searching social networking and other sites, by searching who's working where, and by reaching out to prospective hires and maintaining dialogues with them, sometimes for years. These in-house recruiters produce hand-picked candidates and account for about half of Google's yearly hires.

Google also actively solicits employee referrals. Because inside referrals turned out to be great candidates, Google analyzed how to boost employee referrals. It found that higher referral fees weren't the answer, (since Googlers loved recommending great candidates). Instead, Google streamlined the selection process, so more referrals got hired. Google uses outside recruiters sparingly for special assignments, and dropped job boards several years ago.

Advertising

While Web-based recruiting is replacing traditional help wanted ads, a glance at almost any paper will confirm that print ads are still popular. To use such help wanted ads successfully, employers should address two issues: the advertising medium and the ad's construction.

The best medium depends on the positions for which you are recruiting.

Experienced advertisers use the guide AIDA (attention, interest, desire, action) to construct ads. First, you must attract attention to the ad, or readers may ignore it. Why does the ad attract attention? The phrase "next key player" helps. Next, develop interest in the job. For instance, "are you looking to make an impact?" Create desire by spotlighting words such as *travel* or *challenge*. As an example, having a graduate school nearby may appeal to engineers and professional people. Finally, the ad should prompt action with a statement like "call today."

Poaching

- Can produce good recruits, but can be problematic
  - Uber's agreement to pay Google $245 million

In 2018, Uber agreed to pay Google about $245 million to settle claims that an employee of Google's Waymo driverless car division took Waymo secrets with him when he joined Uber. "Poaching" employees from competitors can produce good recruits but can be problematic.

Gautam Adani's Adani Group and Reliance Industries, led by Mukesh Ambani, entered a pact to not poach talent from each other.
According to Business Insider, the no-poaching pact, which applies to all the businesses owned by the two conglomerates, came into effect in May.
The pact comes even as Adani Group entered the petrochemicals sector with Adani Petrochemicals Limited, recently. Reliance is a leading player in the sector. Besides, for the first time, Adani Group participated in the 5G spectrum auctions, in which Reliance Jio had emerged as the biggest bidder.
Reliance Industries had recently announced plans to enter into the consumer goods business—a segment in which Adani Wilmar Limited is a major player.
Such a pact will ensure that there is no talent war as both these conglomerates are present in several sectors.

Offshoring and Outsourcing Jobs

- Outsourcing
  - Outside vendors supply services
- Offshoring
  - Outside vendors or employees abroad supply services
  - Not just blue-collar jobs

Executive Recruiters

Executive recruiters (also known as *headhunters*) are special employment agencies employers retain to seek out top-management talent for their clients. The percentage of your firm's positions filled by these services might be small. However, these jobs include key executive and technical positions. For executive positions, headhunters may be your only source of candidates. The employer always pays the fees.

Some Statistics

- The author of 'Unlock the Hidden Job Market' estimates that perhaps half of all positions are filled informally (without formal recruiting).
- Similarly, one survey found that:
  - 28% of those surveyed found their most recent job through word-of-mouth
  - 19% used online job boards
  - 16% used direct approaches from employers and employment services
  - 7% print ads, and
  - 1% used social media sites (although 22% used sites like LinkedIn to search for jobs).

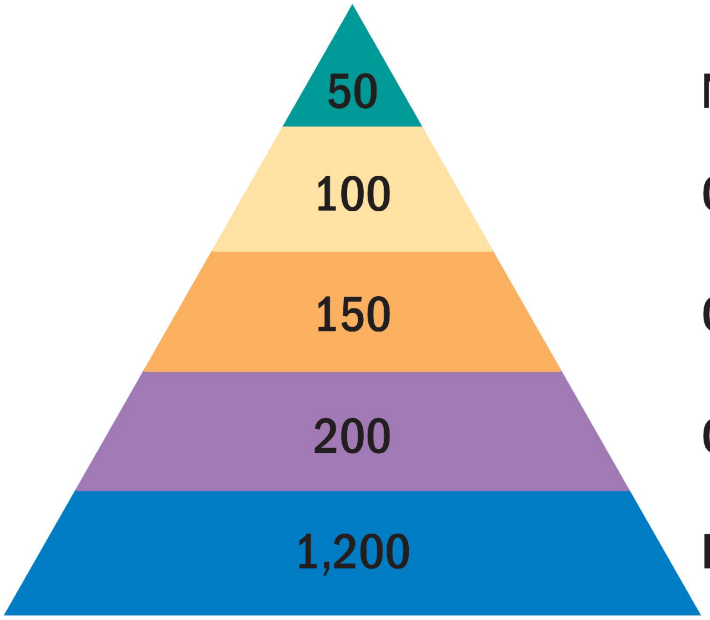
Using Recruitment Software and Artificial Intelligence

- Applicant Tracking System (ATS)
  - Online systems
  - From application service providers (ASPs)
- Artificial intelligence systems
  - Automating the resume analysis
  - Beware of bias

Recruitment Evaluation

- Quantity of Applicants
- Quality of Applicants
- Yield Ratios – A comparison of the number of applicants at one stage of the recruiting process to the number at the next stage.
- Recruitment costs

The Recruiting Yield Pyramid



New hires

Offers made (2:1)

Candidates interviewed (3:2)

Candidates invited (4:3)

Leads generated (6:1)

Improving Performance: H R as a Profit Center

Cutting Recruitment Costs

Let's talk about it…

Cutting Recruitment Costs

GE Medical hires about 500 technical workers a year to design sophisticated medical devices such as CT scanners. It has cut its hiring costs by 17%, reduced time to fill the positions by 20% to 30%, and cut in half the percentage of new hires who don't work out. One problem here is that more applicants is not always better. Realistically, the manager looking to hire five engineers probably won't be twice as selective with 20,000 applicants as with 10,000. Furthermore, the employer needs *qualified, hirable* applicants. An Internet ad may generate thousands of nonviable applicants. The applicant tracking system should help compare recruiting sources, as we said, but many lack the tools to do so.

GE Medical's HR team accomplished this in part by applying its purchasing techniques to its dealings with recruiters. For example, it called a meeting and told 20 recruiters that it would work with only the 10 best. To measure "best," the company created measures inspired by manufacturing techniques, such as "percentage of résumés that result in interviews" and "percentage of interviews that lead to offers." Similarly, GE Medical discovered that current employees are very effective as references. For instance, GE Medical interviews just 1% of applicants whose résumés it receives, while 10% of employee referrals result in actual hires. So GE Medical took steps to double the number of employee referrals. It simplified the referral forms, eliminated bureaucratic submission procedures, and added a small reward like a Sears gift certificate for referring a qualified candidate. GE also upped the incentive—$2,000 if someone referred is hired, and $3,000 if he or she is a software engineer.

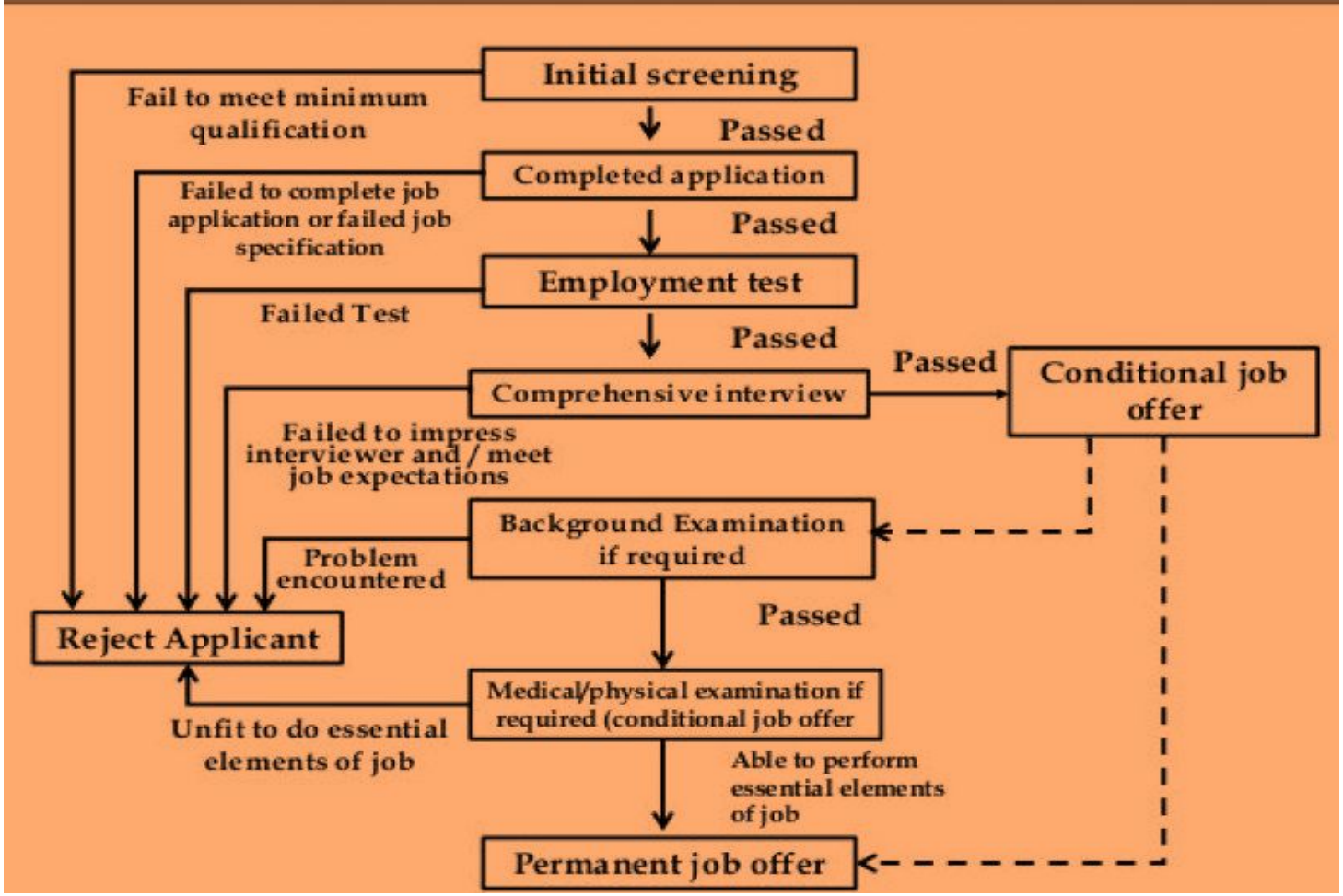
Constraints on Recruitment

- Image of the Company
- Attractiveness of the Job
- Internal Organization Policy
- Recruitment Cost

Selection Decision

- The process of making a ‘Hire’ or ‘No Hire’ decision regarding each applicant for the job
- Selection is the process by which an employer uses certain methods to select candidates from a short-listed group leading to an employment decision. For the candidates, this is the stage in the entire recruitment cycle in which he/she comes in direct, face to face contact with the organization.
- While recruitment is a positive chain of activities producing an optimum number of job-seekers, selection is inherently negative in that it will probably involve rejection of applicants.

SELECTION PROCESS



Why Employee Selection Is Important

- Performance
- Cost
- Legal obligations
- Person and job/organization fit

Basics of choosing Selection tools

- The employer needs to consider several things before choosing to use a particular selection tool (or tools). These include the tool's reliability and validity, its return on investment (in terms of utility analysis), applicant reactions, usability, adverse impact, and the tool's selection ratio (does it screen out, as it should, a high percentage of applicants or admit virtually all?).
- Reliability - is a selection tool's first requirement. It is defined as the consistency of scores obtained by the same person when retested with the identical tests or with alternate forms of the same test.
- Validity - is the accuracy with which a test (or selection tool) measures what it purports to measure or fulfills the function it was designed to fill.
- Utility - Shows the degree to which use of a selection measure improves the quality of individuals selected over what would have happened if the measure had not been used.

Improving Performance: H R as a Profit Center

Using Tests to Cut Cost and Boost Profits

Financial services firm Key Bank knew it needed a better way to screen and select tellers and call-center employees. The company calculated it cost about $10,000 to select and train an employee, but it was losing 13% of new tellers and call-center employees within the first 90 days. That turnover number dropped to 4% after Key Bank implemented a computerized *virtual job tryout candidate assessment screening tool*. “We calculated a $1.7 million cost savings in teller turnover in one year, simply by making better hiring decisions, reducing training costs and increasing quality of hires,” said the firm’s human resources director.

Outback Steakhouse has used pre-employment tests almost from when the company started. The testing seems successful. While annual turnover rates for hourly employees may reach 200% in the restaurant industry, Outback’s turnover ranges from 40% to 60%. Outback wants employees who are highly social, meticulous, sympathetic, and adaptable. They use a personality assessment test to screen out applicants who don’t fit the Outback culture. This test is part of a three-step pre-employment screening process. Applicants take the test, and managers then compare the candidates’ results to the profile for Outback Steakhouse employees. Those who score low on certain traits (like compassion) don’t move to the next step. Those who score high are interviewed by two managers, who ask behavioral questions such as “What would you do if a customer asked for a dish we don’t have?”

Types of Tests

- Tests of cognitive abilities
  - Intelligence tests (IQ)
  - Specific cognitive abilities
- Tests of motor & physical abilities
- Measuring personality
- Interest inventories
- Achievement tests

- Read Article – Employee Selection Tests, Types, Advantages and Disadvantages

Work Samples and Simulations

- With **work samples**, you present examinees with situations representative of the job for which they're applying and evaluate their responses.
- Basic procedure - select a sample of several tasks crucial to performing the job, and then test applicants on them.
- Management Assessment Centers
- Situational Testing - require examinees to respond to situations found on the job
- Video-Based Situational Testing - several online or computer video situations, each followed by one or more multiple-choice questions

Types of Interviews

- Unstructured Interview: It is also known as 'Unpatterned' interview, the interview is largely unplanned and the interviewee does most of the talking. Unguided interview is advantageous in as much as it leads to a friendly conversation between the interviewer and the interviewee and in the process, the later reveals more of his or her desire and problems.
- Structured Interview: In a structured interview, the interviewer uses preset standardized questions, which are put to all the interviewees. This interview is also called as 'Guided' or 'Patterned' interview

Types of Interviews

- Behavioral based interview - Behaviorally based interviewing is predicated on the idea that past behavior and performance are the best predictors of future performance, and that past behavior can be closely examined via structured interviews based on:
- questions built around job-related information
- questions aimed at revealing in some detail how candidates have handled situations and tasks involving similar competencies to those of the job in question and the results of those actions
- questions that unearth the true nature of the candidate's knowledge, behaviors, motivation and values.

Reading of case

- **Data Driven Hiring Process at Google**

Realistic Job Preview

Case Reading - Two Sagas of Unmet Expectations and Reality Shocks Experienced by Newcomers

Common Interviewing Mistakes

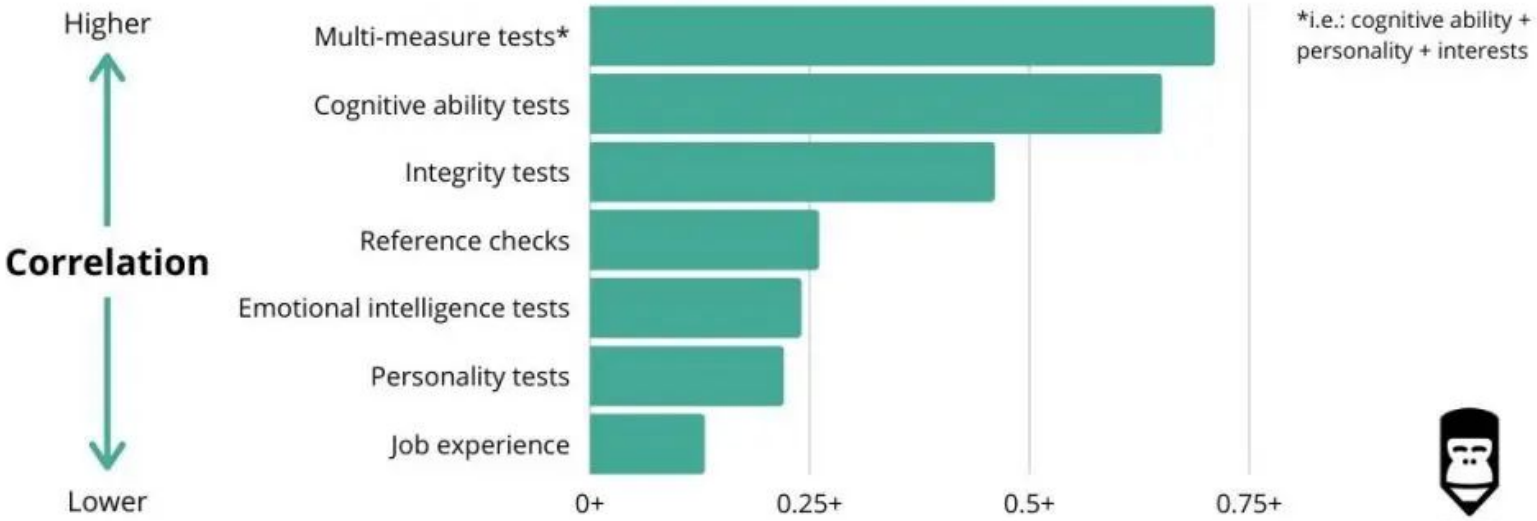
- Stereotyping
- Halo Effect
- Horn Effect
- Contrast hire
- Pressure to hire
- Non verbal expressions

Read Article: Unconscious Bias in the Hiring Process

Method	Reliability	Operative Validity
Structured Behavioural Interview	.83	.63
Knowledge Exams (Tests)	.80	.45
Assessment Centre - Simulations	.70	.37
Conventional Structured Interviews	.65	.33
Personal References	.60	.26
Rating of Merits and Training	.80	.18
Non-structured Interviews	.50	.14

The most effective hiring selection practices

And those that don't work so well, based on validity coefficients ranging from 0 to 1. The higher the number, the higher the correlation between test scores and predicted job performance.



Source: Based on data shared by Frank L. Schmidt in a Nov 6, 2013 address to PTCMW as an update to: Schmidt, F.L. & Hunter, J.E. (1998)

TestGorilla

Background Investigations and Other Selection Method

- Background investigations
- Reference checks
- Pre-employment information services
- Honesty testing

Trends Shaping H R: Digital and Social Media

Digital Tools – Background Checks

Steps for Making the Background Check More Valuable

- Statement authorizing a background check
- Phone references
- Attentiveness to red flags
- Compare the application to the resume
- Ask open-ended questions
- Ask references to suggest other references
- Aim for “360” reference checking

Job Offer and Medical Exams

- Invitation to an potential employee to join the organization
- Offer contains details of employment
- Contains salary, benefits, job title and terms and conditions of employment
- Physical exams
  - After the job offer has been extended

Selection Criteria

Selection Processes

- Technical pre-screening
- Telephone interviews
- Skype/video conference interviews
- Integrated assessments (see following page)

Technical Fit Selection Criteria

- Career history and aspirations
- Affinity for and views of employer brand
- Salary achievement and expectation
- Issues around location/relocation
- Availability/notice period
- Assessment vs. key selection criteria
- Areas for further consideration

Cultural Fit Selection Criteria

- Values and behaviours
- Culture of current and previous employers
- Nature of previous organisations
- Organisational structure
- Personality and management styles of intended line manager/team
- Candidates' preferred way of working and motivational needs

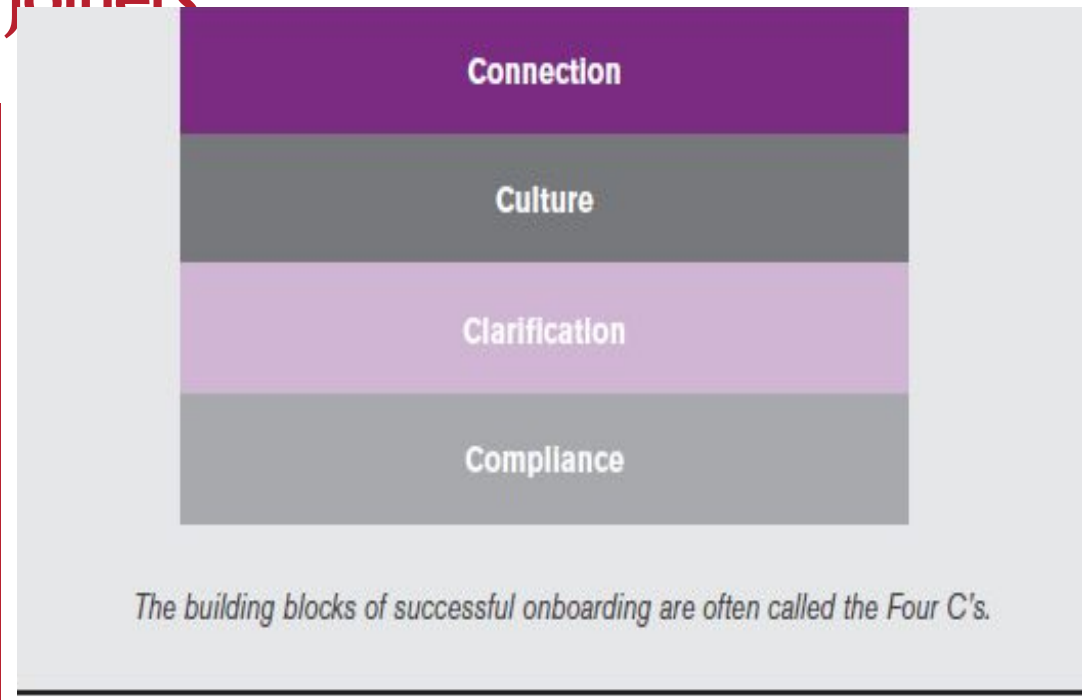
Shortlist Preparation and Documentation

- Documents with summaries
- On-going or batch delivery
- Inclusive of CVs
- Inclusive of conformity to criteria

Red Flags

- Gaps in Employment
- Vague answers
- Vague reasons for leaving jobs
- Lack of employment history
- Inconsistency
- Past employer history dubious or out of business

Orientation of new joiners



Onboarding New Employees: Maximizing Success
SHRM article by T N Bauer

Compliance is the lowest level and includes teaching employees basic legal and policy-related rules and
regulations.

- Clarification refers to ensuring that employees understand their new jobs & all related expectations.
- Culture is a broad category that includes providing employees with
a sense of organizational norms— both formal and informal.
- Connection refers to the vital interpersonal relationships and information networks that new employees must establish.

Orientation of new joiners

Onboarding Strategy Level	Compliance	Clarification	Culture	Connection
1 Passive	YES	SOME	LITTLE/ NONE	LITTLE/ NONE
2 High Potential	YES	YES	SOME	SOME
3 Proactive	YES	YES	YES	YES

Thank You

simsr.somaiya.edu

AACSB ACCREDITED